The *Washington Post* generated substantial cash flow for its owners. Because it generated more cash than it could reinvest in its primary businesses, management was confronted with two choices: return the money to shareholders and/or profitably invest the cash into new opportunities. It is Buffett's preference to have companies return excess earnings to shareholders. The Washington Post Company, while Katharine Graham was president, was the first newspaper in its industry to repurchase shares in large quantities. Between 1975 and 1991, the company bought an unbelievable 43 percent of its shares at an average price of $60 per share.

A company can also choose to return money to shareholders by increasing the dividend. In 1990, confronted with substantial cash reserves, the Washington Post Company voted to increase the annual dividend to shareholders from $1.84 to $4.00, a 117 percent increase.

In the early 1990s, Buffett concluded that newspapers would remain above-average businesses when compared to American industry in general, but they were destined to become less valuable than he or any other media analyst had predicted years earlier, principally because newspapers had lost their pricing flexibility. In previous years, when the economy slowed and advertisers cut spending, newspapers could maintain profitability by raising linage rates. Today, newspapers are no longer monopolies. Advertisers have found cheaper ways to reach their customers; cable television, direct mail, newspaper inserts, and—most of all—the wide use of the Internet have all taken advertising dollars away from newspapers.

By 1991, Buffett was convinced that the change in profitability represented a long-term secular change as well as a temporary cyclical change. "The fact is," he confessed, "newspaper, television, and magazine properties have begun to resemble businesses more than franchises in their economic behavior."[6] Cyclical changes hurt short-term earnings but do not reduce a company's intrinsic value. Secular changes reduce earnings and also reduce intrinsic value. However, the change in intrinsic value of the Washington Post Company, Buffett said, was moderate compared to other media companies. The reasons were twofold. First, the *Post*'s $50 million long-term debt was more than offset by its $400 million in cash holdings. The *Washington Post* is the only public newspaper that is essentially free of